

Organizational Structure



Learning Objectives

- **Describe** six key elements in organizational structure
- **Explain** mechanistic model or the organic model
- **Compare** and **contrast** traditional and contemporary organizational designs

What Is Organizing?

- Organizing
 - The function of management that creates the organization's structure.
 - Involves grouping similar tasks, assigning roles and responsibility.

Organization Design

- It refers to the process of creating hierarchy in the **organization structure** and determining the flow of responsibility and authority within the **structure** in an **organization**.
- It involves defining, designing, and re-structuring organizational structure for smooth and effective functioning.
- A process for shaping the way organizations are structured.

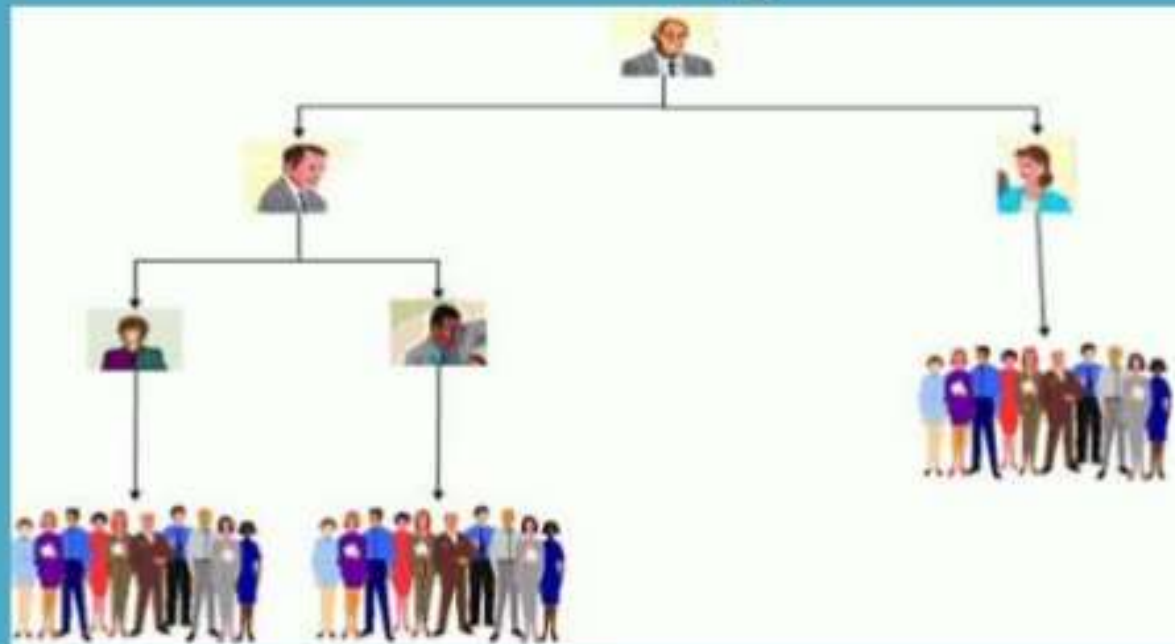
Organization structure: defined

- A systematic approach detailing the hierarchy within an organization.
- A system that outlines how certain activities are directed to achieve the goals of an organization. These activities can include rules, roles, and responsibilities.

- Determines:
 - ❖ **what employees do, whom they report to, and how decisions are made. how they interact with other people and teams within the organization.**
 - ❖ **how responsibilities and roles are assigned and grouped throughout an organization.**

Organizational Structure

It is a framework within which an Organization arranges it's lines of authorities and communications and allocates rights and duties.



Aspects in organization design

- Line of authority
- Roles, duties, rights, and responsibilities
- Reporting relationships
- Flow of information
- Communication patterns
- Job functions, decision-making, task allocation.
- Rules and regulations
- Degree of team work

Cont'd...

- It is a formal management of jobs within an organization.
- It describes the organizational hierarchy in terms of different roles, responsibilities, supervision, etc. It demonstrates different roles of the employees, job descriptions, job functions, decision-making authorities, reporting structure, allocation of tasks in the department, flow of information between different levels of an organization, clarity of job of each employee project team, branch, etc.

Six key elements of Organizational design

- 1. Work specialization
- 2. Chain of command
- 3. Span of control
- 4. Departmentalization
- 5. Centralization vs decentralization
- 6. Formalization

Work specialization

- It is the process of dividing work activities into separate specified job units or tasks.
- Use of skills, knowledge or expertise.
- Leads to higher performance and productivity.

What is department?

- **The department designates a distinct area, division, or branch of an organization over which a manager has authority for the performance of specified activities.**

Formal Vs Informal organization

- **Formal organization** pertains to the intentional structure of roles in a formally organized enterprise.
- **The informal organization** is a network of personal and social relations *not established or required by the formal organization* but arising spontaneously as people associate with one another

What Is Departmentalization?

- Departmentalization
 - How jobs are grouped together
- Functional Departmentalization
 - Grouping activities by functions performed
- Product Departmentalization
 - Grouping activities by major product areas
- Customer Departmentalization
 - Grouping activities by customer

Cont'd..

- **Geographic Departmentalization**
 - Grouping activities on the basis of geography or territory
- **Process Departmentalization**
 - Grouping activities on the basis of work or customer flow
- **Cross-functional Teams**
 - Teams made up of individuals from various departments and that cross traditional departmental lines

Authority and Responsibility

- Chain of Command
 - The ***line of authority*** extending from ***upper organizational levels to lower levels***, which clarifies who reports to whom
- Authority
 - The **rights inherent in a managerial position** to give orders and expect the orders to be obeyed
- Responsibility
 - An ***obligation*** to perform assigned duties

Types of Authority Relationships

- Line Authority
 - Authority that entitles a *manager to direct the work* of an employee
- Staff Authority
 - Positions with some authority that have been created to *support, assist, and advise* those holding line authority

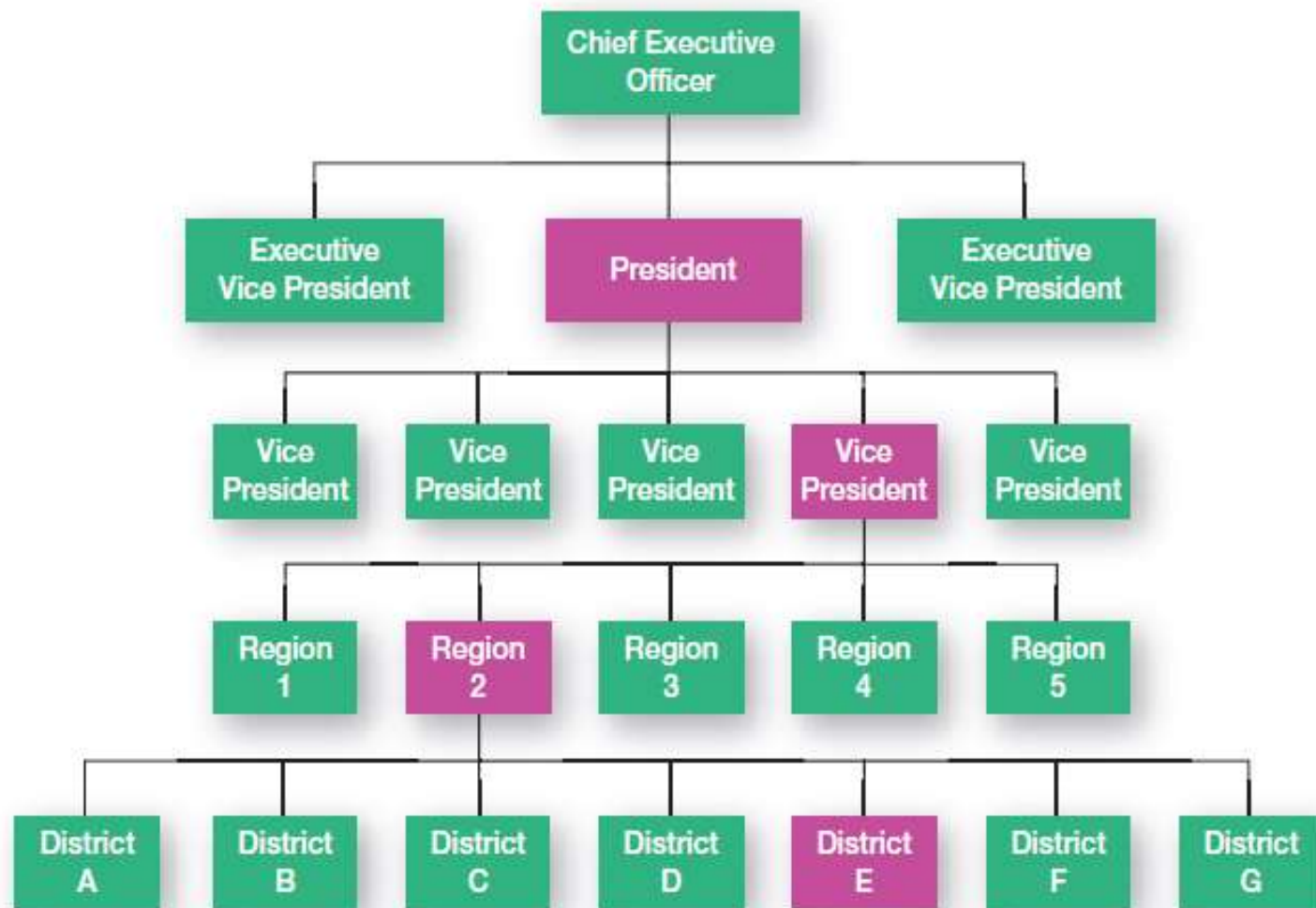
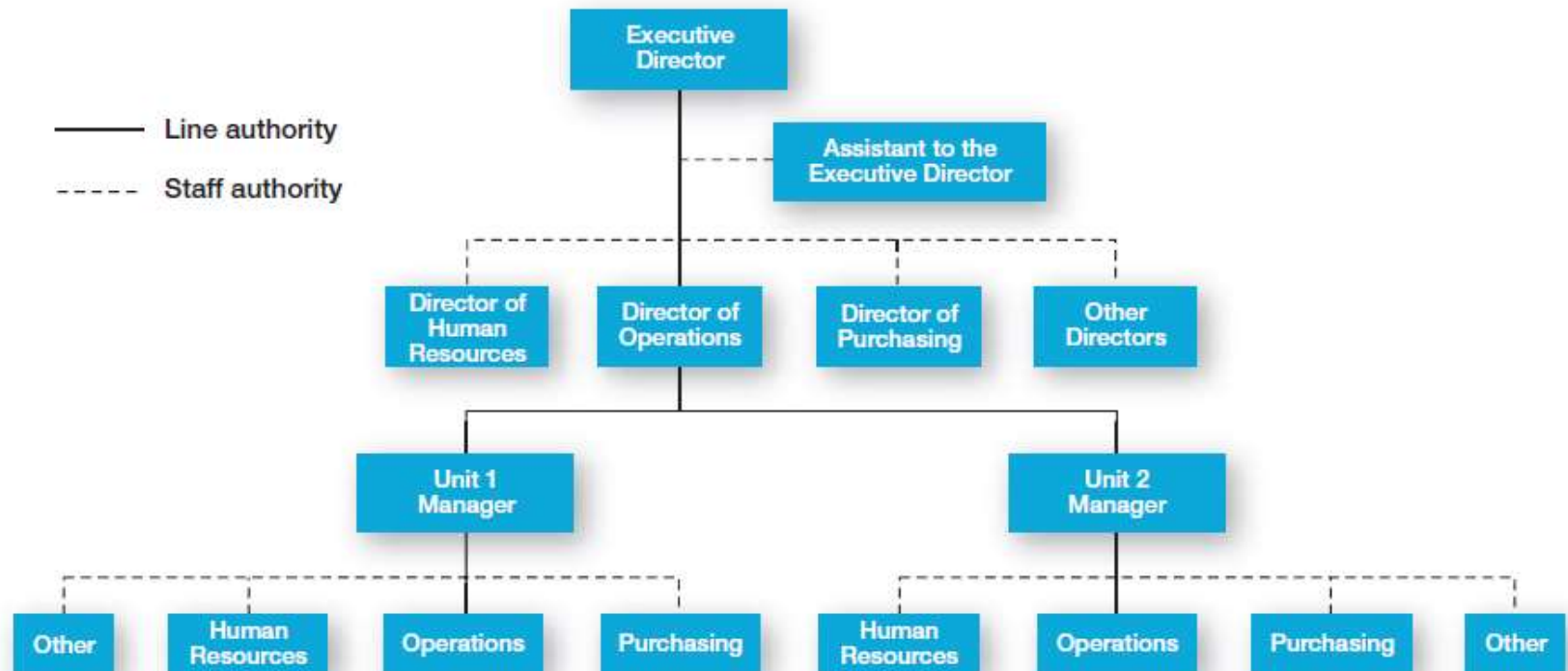
EXHIBIT 5-3**Chain of Command and Line Authority**

EXHIBIT 5-4 Line Versus Staff Authority

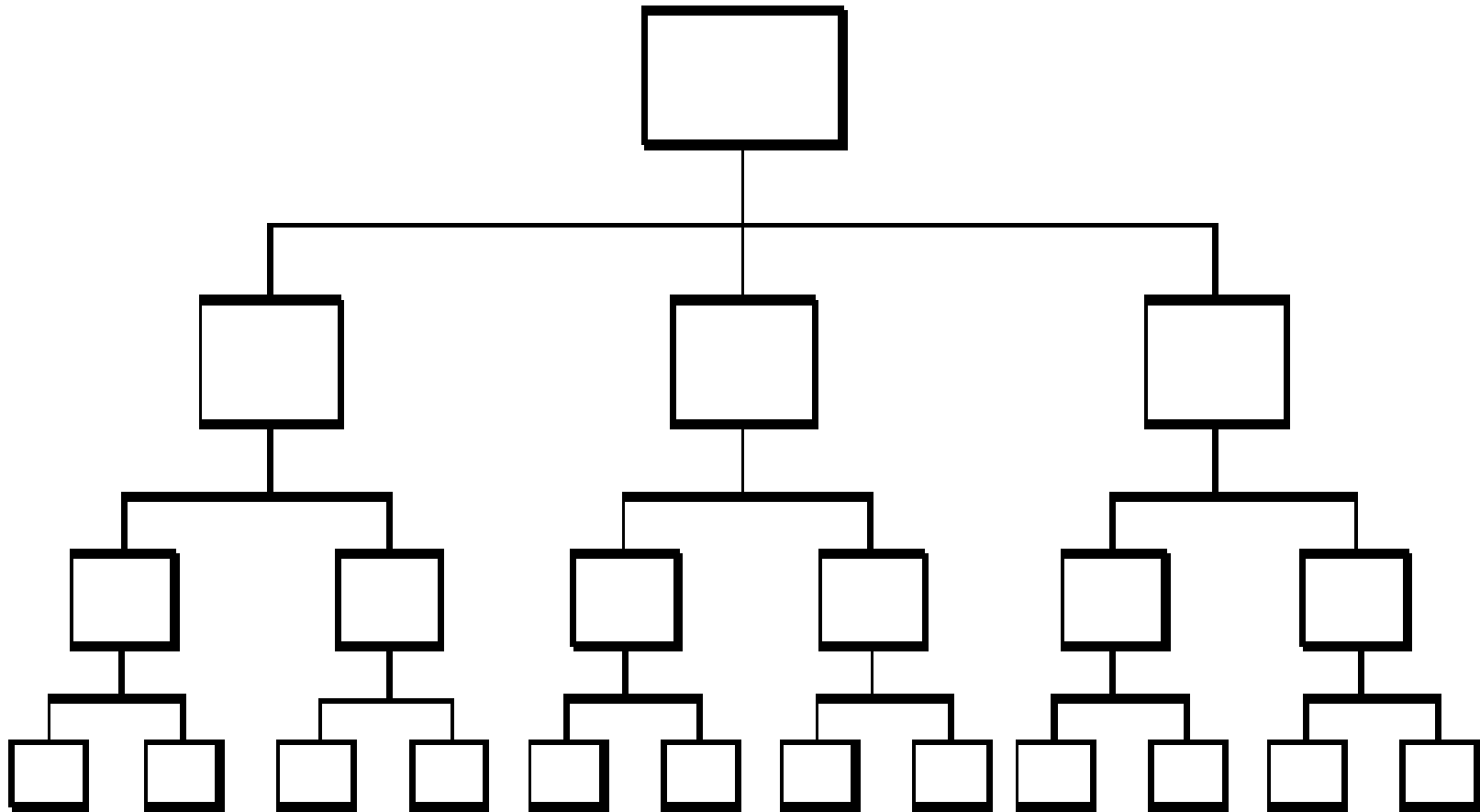


Span of Control

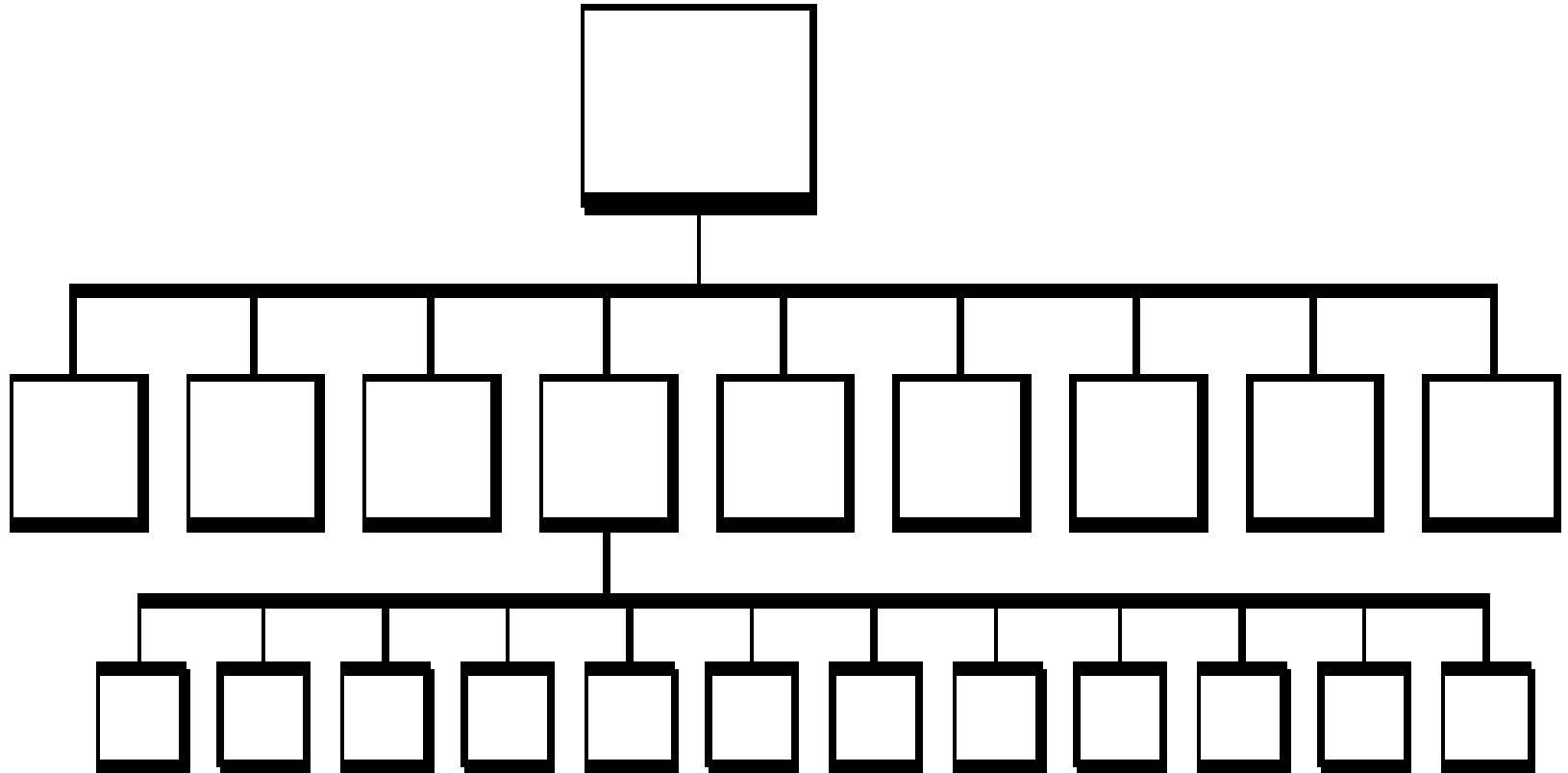
- Span of Control
 - The number of employees a manager can efficiently and effectively supervise



Organization with Narrow Spans



Organization with Wide Spans



Formalization

- Formalization
 - How ***standardized an organization's jobs*** are and the extent to which employee behavior is guided by ***rules and procedures***
- Centralization
 - The degree to which decision making takes place at upper levels of the organization
- Decentralization
 - The degree to which lower-level managers provide input or actually make decisions

Types of structures

- Mechanistic structure

- A top-down, hierarchical structure; high in specialization, formalization, and centralization.
- The structure is more clearly defined as a hierarchy with leadership delegating specific roles and tasks to those below.
- With a centralized leadership, the mechanistic structure strives to have specific job descriptions for everyone. People work on individual tasks, with managers and leaders supervising them.

Organic structure

- A structure that's low in specialization, formalization, and centralization.
- The organic structure is said to be flat, meaning that there isn't a typical hierarchy from the lower level workers up to senior management. Often, there are often a lot of employees that work in horizontal clusters, rather than in vertical clusters.

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- Within the organic organization structure, employees are encouraged to work together and to have teams working on tasks together or coordinating the flow of information and duties.

EXHIBIT 5-7**Mechanistic Versus Organic Organizations****MECHANISTIC**

- ☐ Rigid hierarchical relationships
- ☐ Fixed duties
- ☐ Many rules
- ☐ Formalized communication channels
- ☐ Centralized decision authority
- ☐ Taller structures

**ORGANIC**

- ☐ Collaboration (both vertical and horizontal)
- ☐ Adaptable duties
- ☐ Few rules
- ☐ Informal communication
- ☐ Decentralized decision authority
- ☐ Flatter structures

Simple Structure

- Simple Structure
 - An organizational design with *low departmentalization, wide spans of control, authority centralized in a single person, and little formalization*

Traditional Organizational Designs

- **Functional Structure**
 - An organizational design that groups similar or related occupational specialties together
- **Divisional Structure**
 - An organizational structure made up of separate business units or divisions

Contemporary Organizational Structures

- **Team Structure**
 - A structure in which the entire organization is made up of work teams
- **Matrix Structure**
 - A structure in which specialists from different functional departments are assigned to work on projects led by a project manager
- **Project Structure**
 - A structure in which employees continuously work on projects

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- **Boundaryless Organization**
 - An organization whose design is not defined by, or limited to, boundaries imposed by a predefined structure. Characterized by lack of structures and an approach to business that is based on the free flow of information and ideas to drive innovation, efficiency and growth

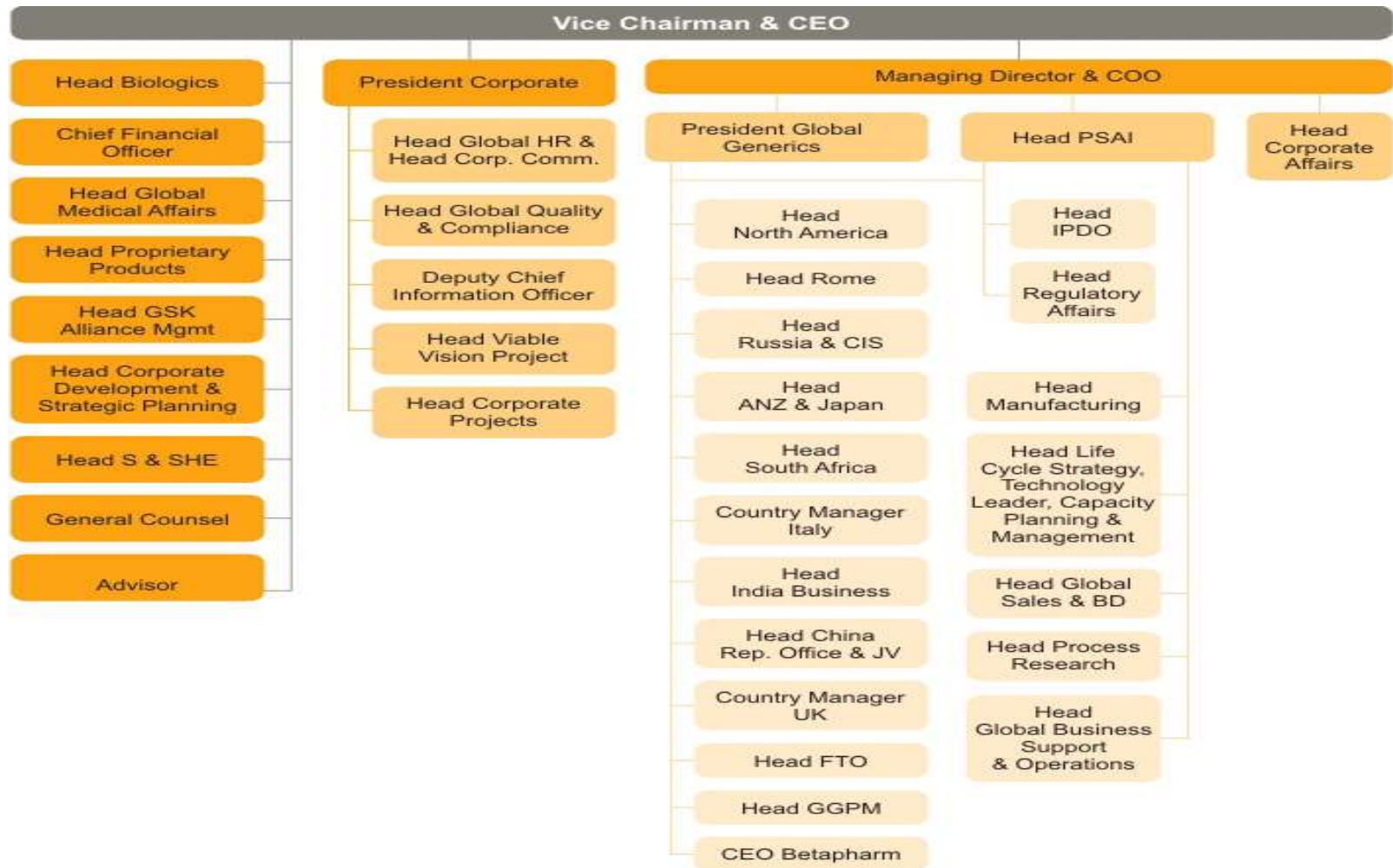
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- **Virtual organizations** emerged in 1990 and is also known as digital / network / modular organization. Simply speaking, a virtual organization is a network of cooperation made possible by ICT.
- It is a social network in which all the horizontal and vertical boundaries are removed. In this sense, it is a boundaryless organization. It consists of individual's working out of physically dispersed work places, or even individuals working from mobile devices

Cont'd..

- Network Organization
 - An organization that uses its own employees to do some work activities and networks of outside suppliers to provide other needed product components or work processes

Dr. Reddy's Structure



Learning Organization

An organization that has developed the ***capacity to continuously learn, adapt, and change***



EXHIBIT 5-12**Characteristics of a Learning Organization**

Sources: Based on P. M. Senge, *The Fifth Discipline: The Art and Practice of Learning Organizations* (New York: Doubleday, 1990); and R. M. Hodgetts, F. Luthans, and S. M. Lee, "New Paradigm Organizations: From Total Quality to Learning to World Class," *Organizational Dynamics* (Winter 1994), pp. 4–19.

Why do structures differ?

- Different organizations use different structure for different reasons. Depending on following factors, structures differ:
- Organizational strategy
- Organizational size
- Environment

Restructuring at ZEE

Entertainment Enterprises Ltd.

- The Board has reviewed and approved the lean organisation structure proposed by the MD & CEO, which aims at streamlining the organisation and improving efficiencies across the business. The strong and capable set of leaders identified for each core business segment in the lateral structure, are highly reflective of the Company's deep bench strength and ensure that the Company remains well-positioned for the future. We are confident that a resilient and lean team will enable the Company to achieve its set goals and priorities for the future, further generating higher value for the shareholders

- The restructured framework prioritizes speed and agility, fostering collaboration and synergy among core business segments, including Broadcast, Digital, Movies, and Music. This strategic move aims to bolster operational efficiency and elevate key personnel within the organization. The new structure is effective immediately, reflecting the company's commitment to adaptability and efficiency in a rapidly evolving industry landscape.
- Domestic broadcasting, Digital Business, Music business, International broadcasting, content production,

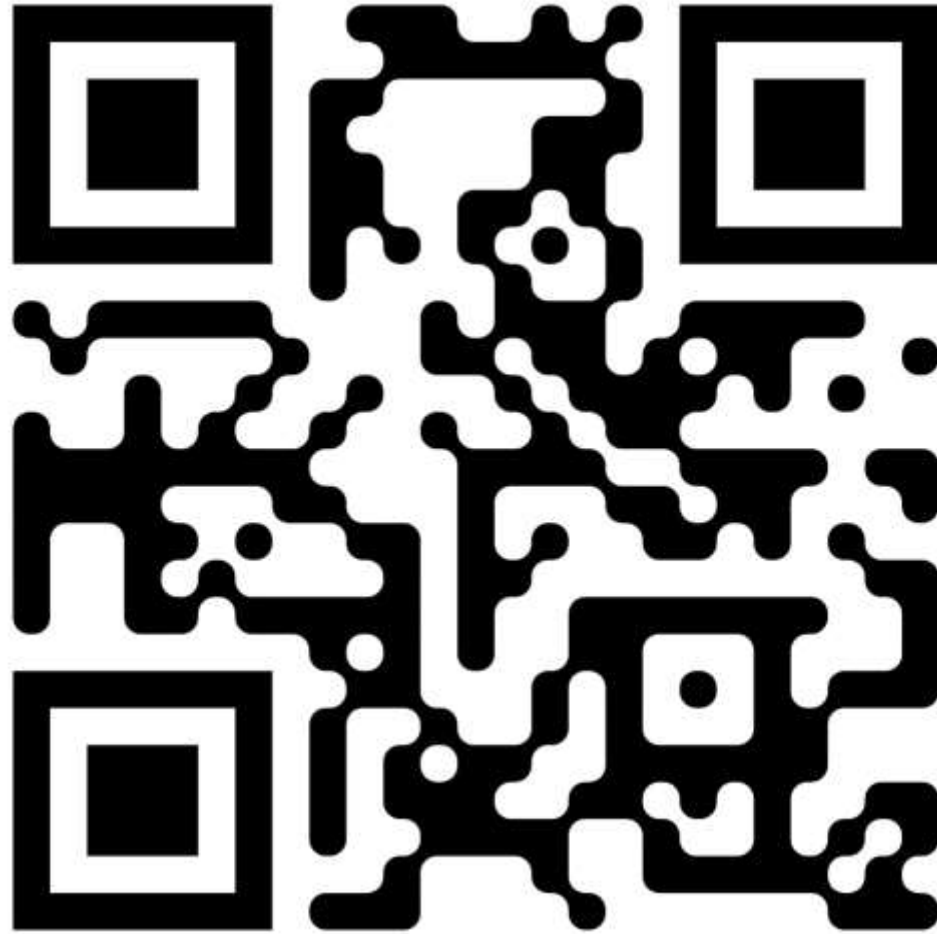
Contingency Variables Affecting Structural Choice

- Different organizations use different structure for different reasons. Depending on following factors, structures differ:
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- Organizational size
- Technology
- Environment

Reasons for restructuring

1. Create a focus on core businesses
2. Align businesses vertically to improve accountability and reporting
3. Improve valuation and shareholder value
4. Provide a clear direction to potential investors
5. Take advantage of future growth potential

Reading



Reading

- <https://www.hrkatha.com/features/can-organisational-design-restore-the-dignity-of-work-in-the-age-of-ai/>

Questions

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